

means you've probably made an identification mistake.

Volume. The volume trend is upward two-thirds of the time in descending broadening wedges. Increasing volume seems to catapult price higher, sending it out the top of the wedge. Volume at the breakout is usually high but need not be. As long as demand exceeds supply, price will rise. If volume recedes, don't discard the pattern.

Breakout direction. The breakout direction is upward 72% of the time. All of the figures in this chapter show an upward breakout. A downward breakout would occur when price closes below the bottom trendline.

Focus on Failures

Look at [Figure 13.4](#). In the week or two before the wedge begins, price is rising. Immediately after the breakout, price is also rising, so this wedge acts as a continuation of the upward price trend.

The breakout process starts on 3 September when price punches through the top trendline and closes above it. However, price does not rise far before returning to the trendline.